

If you died today, think of all the expenses that the family has ahead of them. Now think of how much they will need to put away in a fixed deposit or a tax-free bond or a mutual fund to generate a regular income? The rule of thumb is that ***you need eight to ten times your take-home annual income***. Or fifteen to twenty times your annualized monthly expenditure.

Let's work with some numbers. Suppose your annual take-home income is Rs 6 lakhs, or about Rs 50,000 a month. You die. Your cover was for a nice fat Rs 60 lakhs. Your spouse gets this money. She does not understand bonds or funds and just puts this in a 7-per-cent ten-year fixed deposit (FD); she is able to generate Rs 40,000 a month. Remember, not the entire sum of Rs 50,000 was consumed; there was a part that was getting saved. Of course, we're assuming that you did not die penniless and had other investments and had your provident fund in place that she gets to invest as well.

In addition to a cover for your income, you need to buy insurance for all the debt you have. Each time you take a large loan – usually a home loan, sometimes a personal loan – buy a term cover for the full amount of the loan that you take. Suppose you take a home loan of Rs 80 lakhs. Buy a term cover of Rs 80 lakhs. Your bank may offer you a reducing cover policy whose premium is bundled with your EMI. Say no. It's likely to be more expensive and there is another logic for buying a Rs 80-lakh cover. As your loan amount falls, you are growing older, doing better at your work. Your salary is rising; therefore the need for the cover is rising.

When's a good time to buy?

Buy as soon as you have dependants or the possibility of getting dependants arises.

Typically, you will buy a life cover once you get married and have a dependent spouse. If the spouse is earning, and you have no loans, you may be able to postpone the purchase of the cover till the kids come along. Even if you are not married and plan not to marry, but carry the responsibility of an unmarried sibling or parents on your shoulders, you still need a life insurance policy.

So buy the policy the moment you realize that other people in the family will suffer financially if you die suddenly. Buy as early as possible because you get